



Apple Inc.

DCF Valuation & 3-Statement Model (Valuation date: 1/1/2026)

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1. Valuation summary & scenario analysis
2. Implied share price sensitivity analysis
3. Model inputs
4. 3-statement model
5. DCF model
6. Supporting schedules & calculations

Valuation summary & scenario analysis

Equity per share expressed in USD, all other figures in USD millions

Base case

▼

Key valuation assumptions

WACC	8,82 %
Terminal growth	2,50 %
Terminal multiple	16,52x
Net debt	62 723
Shares outstanding	14 860

Perpetuity method

Premium or discount 82,53 %

	Enterprise value	Equity value	Equity per share
Bear case	1 997 023	1 934 300	130,17
Base case	2 268 934	2 206 211	148,47
Bull case	2 710 541	2 647 818	178,18

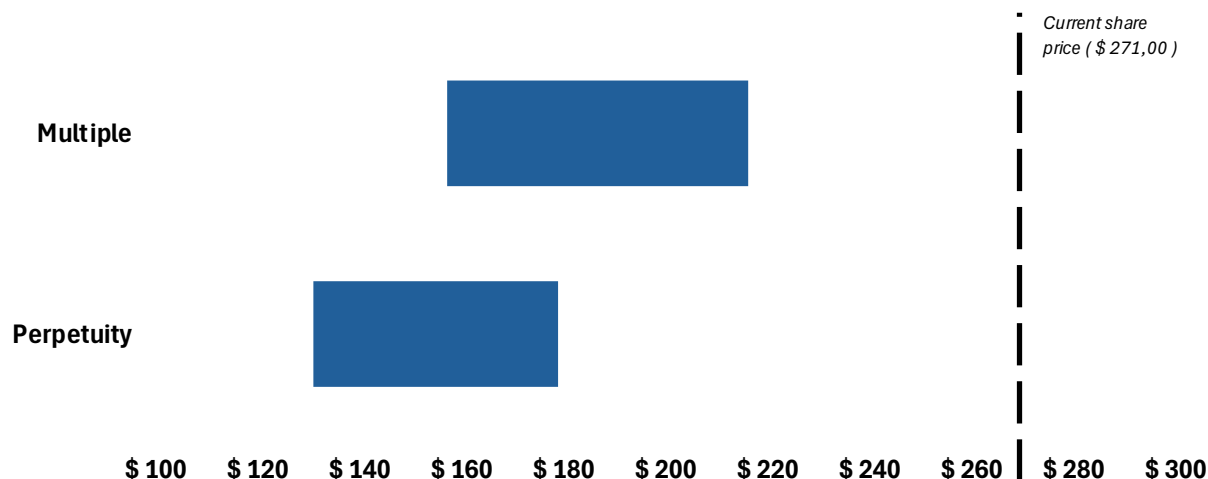
Multiple method

Premium or discount 51,36 %

	Enterprise value	Equity value	Equity per share
Bear case	2 388 103	2 325 380	156,49
Base case	2 723 236	2 660 513	179,04
Bull case	3 267 529	3 204 806	215,67

Based on the model's current assumptions and scenarios, Apple Inc. appears overvalued relative to its market price at the moment. The intrinsic value implied by the DCF falls below the current share price, suggesting the market may be pricing in more optimistic growth expectations than the model supports. For the stock to be fairly valued today, the terminal growth rate would need to be approximately 5.75%, a level well above what is typically sustainable for a company of Apple's size and maturity. This gap highlights the sensitivity of the valuation to long-term growth assumptions. One factor that could justify a higher growth rate is Apple's ability to successfully monetize AI across its products and services, which would help close the valuation gap.

Implied Valuation Range – Football Field Chart



Implied share price sensitivity analysis

Base case



Current share price **\$271,00**

BUY

SELL

Perpetuity method

		Terminal growth						
		1,00 %	1,50 %	2,00 %	2,50 %	3,00 %	3,50 %	4,00 %
WACC	5,82 %	210,51	231,02	256,91	290,60	336,23	401,52	502,70
	6,82 %	172,52	185,71	201,63	221,24	245,97	278,16	321,76
	7,82 %	145,72	154,78	165,39	177,99	193,21	211,95	235,60
	8,82 %	125,81	132,33	139,81	148,47	158,61	170,67	185,22
	9,82 %	110,44	115,31	120,80	127,03	134,19	142,47	152,18
	10,82 %	98,23	101,96	106,12	110,78	116,03	122,00	128,85
	11,82 %	88,29	91,22	94,45	98,03	102,01	106,47	111,50

Multiple method

		Terminal multiple						
		10,52	12,52	14,52	16,52	18,52	20,52	22,52
WACC	5,82 %	154,47	174,24	194,01	213,79	233,56	253,33	273,11
	6,82 %	145,82	164,34	182,85	201,37	219,88	238,39	256,91
	7,82 %	137,77	155,12	172,46	189,81	207,15	224,49	241,84
	8,82 %	130,26	146,52	162,78	179,04	195,30	211,56	227,82
	9,82 %	123,25	138,50	153,75	169,00	184,25	199,50	214,75
	10,82 %	116,70	131,01	145,33	159,64	173,95	188,27	202,58
	11,82 %	110,58	124,02	137,46	150,90	164,34	177,78	191,22

DCF quality metrics

Revenue CAGR	4,53 %
Free cash flow CAGR	6,06 %
Terminal value % of EV	74 %
WACC - Terminal Growth	6,32 %

Model health checks

2026F	2027F	2028F	2029F	2030F	2031F
Balance sheet balances?					
Yes	Yes	Yes	Yes	Yes	Yes
Cash flow reconciles?					
Yes	Yes	Yes	Yes	Yes	Yes

Inputs

Drivers

Base case	2023	2024	2025	2026F	2027F	2028F	2029F	2030F	2031F	term
Revenue growth %	(2,80 %)	2,02 %	6,43 %	5,71 %	5,00 %	4,71 %	4,45 %	4,27 %	4,20 %	2,50 %
Bear case				4,50 %	3,20 %	2,80 %	1,50 %	0,80 %	0,10 %	
Base case				5,71 %	5,00 %	4,71 %	4,45 %	4,27 %	4,20 %	
Bull case				7,40 %	7,80 %	8,20 %	8,50 %	9,00 %	9,15 %	

More about revenue forecast on the input calc tab

Assumptions

Research & Development % of revenue	8,00 %	8,00 %	8,00 %	8,00 %	8,00 %	8,00 %	8,00 %	8,00 %	8,00 %	8,00 %
SG&A % of revenue	7,00 %	7,00 %	7,00 %	7,00 %	7,00 %	7,00 %	7,00 %	7,00 %	7,00 %	7,00 %
Gross margin %	43,30 %	46,20 %	46,90 %	47,30 %	47,90 %	48,40 %	49,00 %	50,40 %	50,90 %	51,00 %
Days in year	365	365	365	365	365	365	365	365	365	365
Accounts payable (days)	107	120	115	115	115	115	115	115	115	115
Account receivable (days)	28	31	35	32	32	32	32	32	32	32
inventory (days)	11	13	9	9	9	9	9	9	9	9
D&A % of revenue	2,80 %									
Capital expenditure % of revenue	3,00 %									
	15,50 %									
Divident yearly growth %	1,30 %									
Buybacks of common stock per year	100 000									

Any forecast line shown in blue font on the Model tab indicates that the item has either been held constant at the latest historical year's value, set to zero, or estimated based on a specific assumption.

Valuation assumptions

Terminal growth rate	2,50 %
Shares outstanding	14 860
current share price	\$271,00
EV / EBITDA multiple	16,52x
Valuation date	1.1.2026
WACC	8,82 %

EV / EBITDA multiple is based on a trading comps analysis

WACC is derived using a CAPM-based framework. For flexibility, the model incorporates a beta toggle, enabling to switch between the company's historical beta and a calculated beta.

WACC

Risk-free rate	4,36 %
Equity risk premium	4,24 %

Sources

Damodaran

Calculated beta = Industry unlevered beta x (1+ (D/E) x (1 - tax rate))

Industry unlevered beta	0,83
Debt	291 (Billions of dollars)
Market cap	4 032 (Billions of dollars)
D/E	0,072
tax rate	15,50 %

Damodaran

macrotrends

macrotrends

this model

Calculated beta	0,88
Historical beta	1,07

Yahoo finance

Beta used in the model	1,07
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beta switch:

Historical beta



Cost of equity	8,90 %
Cost of debt	5,01 %

alphaspread

Weight of debt	1,98 %
weight of equity	98,02 %

alphaspread

alphaspread

WACC	8,82 %
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Exit Multiple - Comparable analysis

	EV / EBITDA
Microsoft Corporation	22,52x
Alphabet Inc.	24,81x
Samsung Electronics Co.	10,92x
Sony Group Corporation	7,14x
Amazon.com	17,20x

Source: stockanalysis.com
Multiples based on latest reported fiscal year.

Average	16,52x
Median	17,20x
Minimum	7,14x
Maximum	24,81x

Multiple used in the model	16,52x
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Cash flow statement

All figures in USD millions unless stated

	2023	2024	2025	2026F	2027F	2028F	2029F	2030F	2031F	term
Operating activities										
Net income	96 995	93 736	112 010	120 071	128 416	136 508	145 144	157 573	166 510	171 149
Depreciation and amortization	11 519	11 445	11 698	12 318	12 934	13 543	14 146	14 750	15 369	15 753
Other	8 606	9 422	12 774	0	0	0	0	0	0	0
Changes in operating assets and liabilities										
Account receivable	(1 688)	(3 788)	(6 682)	1 208	(1 928)	(1 907)	(1 887)	(1 891)	(1 940)	(1 203)
Inventories	(1 618)	(1 046)	1 400	1	(217)	(220)	(199)	(89)	(203)	(152)
Account payable	(1 889)	6 020	902	3 185	2 779	2 809	2 544	1 143	2 593	1 946
Other	(1 382)	2 465	(20 620)	0	0	0	0	0	0	0
Cash generated by operating activities	110 543	118 254	111 482	136 784	141 983	150 733	159 748	171 485	182 330	187 492
Investing activities										
Property, plant and equipment	(10 959)	(9 447)	(12 715)	(13 198)	(13 858)	(14 510)	(15 156)	(15 803)	(16 467)	(15 753)
Other	14 664	12 382	27 910	0	0	0	0	0	0	0
Cash generated by investing activities	3 705	2 935	15 195	(13 198)	(13 858)	(14 510)	(15 156)	(15 803)	(16 467)	(15 753)
Financing activities										
Payments for dividends	(15 025)	(15 234)	(15 421)	(15 621)	(15 825)	(16 030)	(16 239)	(16 450)	(16 664)	(16 880)
Repurchases of common stock	(77 550)	(94 949)	(90 711)	(100 000)	(100 000)	(100 000)	(100 000)	(100 000)	(100 000)	(100 000)
Other	(15 913)	(11 800)	(14 554)	0	0	0	0	0	0	0
Cash used in financing activities	(108 488)	(121 983)	(120 686)	(115 621)	(115 825)	(116 030)	(116 239)	(116 450)	(116 664)	(116 880)
Cash balance										
Beginning	24 977	30 737	29 943	35 934	43 898	56 199	76 392	104 745	143 977	193 176
Increase / Decrease	5 760	(794)	5 991	7 964	12 301	20 192	28 353	39 232	49 199	54 859
Ending	30 737	29 943	35 934	43 898	56 199	76 392	104 745	143 977	193 176	248 035

DCF model

UFCF schedule

All figures in USD millions unless stated

tax rate	15,50 %
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	2026F	2027F	2028F	2029F	2030F	2031F	term
EBIT x (1 - tax rate)	120 071	128 416	136 508	145 144	157 573	166 510	171 149
D&A	12 318	12 934	13 543	14 146	14 750	15 369	15 753
Capex	(13 198)	(13 858)	(14 510)	(15 156)	(15 803)	(16 467)	(15 753)
Cash changes from working capital	4 395	633	682	458	(838)	450	590
UFCF	123 586	128 125	136 223	144 592	155 682	165 863	171 739
UFCF % of revenue	28,09 %	27,74 %	28,16 %	28,62 %	29,55 %	30,22 %	30,52 %

DCF schedule: Perpetuity method

All figures in USD millions unless stated

Terminal growth	2,50 %
WACC	8,82 %

	2026F	2027F	2028F	2029F	2030F	2031F	term
Discrete forecast	123 586	128 125	136 223	144 592	155 682	165 863	171 739
Terminal value							2 785 323
Total cash flow	123 586	128 125	136 223	144 592	155 682	165 863	2 957 062

Total debt	98 657
Cash & equivalents	35 934
Net debt:	62 723

Enterprise value	2 268 934
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Discounted cash flow:	2 268 934
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Enterprise value	2 268 934
Net debt	62 723
Equity value	2 206 211

Equity value	2 206 211
Shares outstanding	14 860
Equity value per share	\$/sh 148,47

Equity value per share	148,47
Current share price	271,00
Premium	82,53 %

DCF schedule: Multiple method

All figures in USD millions unless stated

EV / EBITDA multiple	16,52
WACC	8,82 %
Term EBITDA	218 296

	2026F	2027F	2028F	2029F	2030F	2031F	term
Discrete forecast	123 586	128 125	136 223	144 592	155 682	165 863	171 739
Terminal value							3 606 252
Total cash flow	123 586	128 125	136 223	144 592	155 682	165 863	3 777 991

Total debt	98 657
Cash & equivalents	35 934
Net debt:	62 723

Enterprise value	2 723 236
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Discounted cash flow	2 723 236
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Enterprise value	2 723 236
Net debt	62 723
Equity value	2 660 513

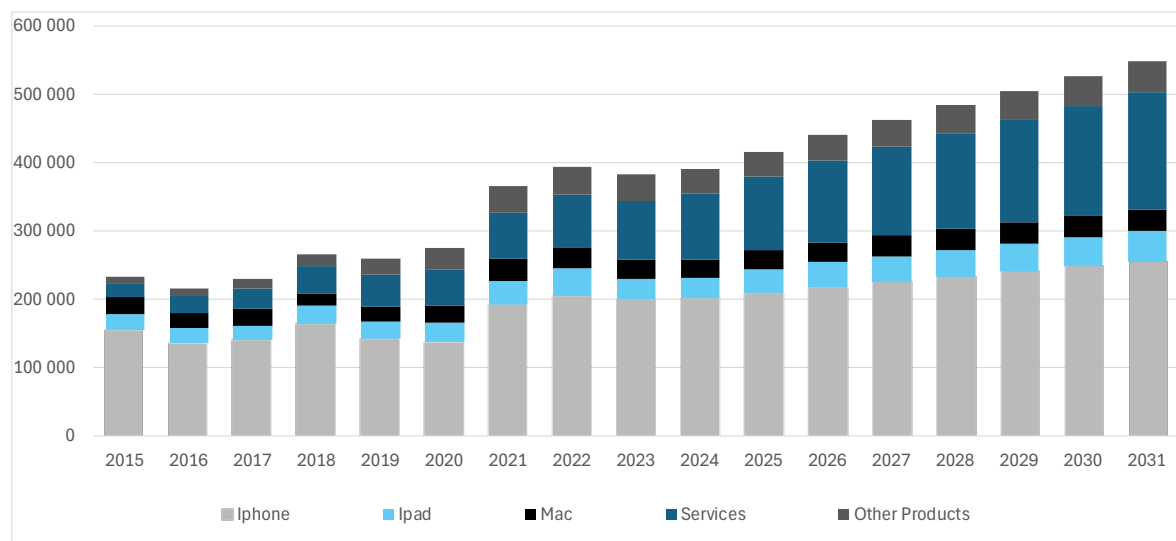
Equity value	2 660 513
Shares outstanding	14 860
Equity value per share	\$/sh 179,04

Equity value per share	179,04
Current share price	271,00
Premium	51,36 %

Supporting schedules & calculations

Revenue forecasts

	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027	2028	2029	2030	2031
Revenue growth %		-7,73 %	6,30 %	15,86 %	-2,04 %	5,51 %	33,26 %	7,79 %	-2,80 %	2,02 %	6,43 %	5,71 %	5,00 %	4,71 %	4,45 %	4,27 %	4,20 %
Iphone	155 041	136 700	141 319	164 888	142 381	137 781	191 973	205 489	200 583	201 183	209 586	217 557	225 159	232 760	240 361	247 963	255 564
Ipad	23 227	20 628	19 222	25 198	25 740	28 622	35 190	40 177	29 357	29 984	33 708	36 595	38 036	39 477	40 918	42 359	43 800
Mac	25 471	22 831	25 850	18 380	21 280	23 724	31 862	29 292	28 300	26 694	28 023	29 407	30 014	30 621	31 228	31 835	32 441
Services	19 909	24 348	29 980	39 748	46 291	53 768	68 425	78 129	85 200	96 169	109 158	119 424	129 696	139 969	150 242	160 514	170 787
Other Products	10 067	11 132	12 863	17 381	24 482	30 620	38 367	41 241	39 845	37 005	35 686	36 940	39 030	40 870	42 450	44 115	46 300
Total revenue	233 715	215 639	229 234	265 595	260 174	274 515	365 817	394 328	383 285	391 035	416 161	439 923	461 935	483 697	505 199	526 786	548 893
		-11,83 %	3,38 %	16,68 %	-13,65 %	-3,23 %	39,33 %	7,04 %	-2,39 %	0,30 %	4,18 %	3,80 %	3,49 %	3,38 %	3,27 %	3,16 %	3,07 %
Ipad																	
Growth %		-11,19 %	-6,82 %	31,09 %	2,15 %	11,20 %	22,95 %	14,17 %	-26,93 %	2,14 %	12,42 %	8,56 %	3,94 %	3,79 %	3,65 %	3,52 %	3,40 %
Mac																	
Growth %		-10,36 %	13,22 %	-28,90 %	15,78 %	11,48 %	34,30 %	-8,07 %	-3,39 %	-5,67 %	4,98 %	4,94 %	2,06 %	2,02 %	1,98 %	1,94 %	1,91 %
Services																	
Growth %		22,30 %	23,13 %	32,58 %	16,46 %	16,15 %	27,26 %	14,18 %	9,05 %	12,87 %	13,51 %	9,40 %	8,60 %	7,92 %	7,34 %	6,84 %	6,40 %
Other Products																	
Growth %		10,58 %	15,55 %	35,12 %	40,85 %	25,07 %	25,30 %	7,49 %	-3,38 %	-7,13 %	-3,56 %	3,51 %	5,66 %	4,71 %	3,87 %	3,92 %	4,95 %
Total																	
Growth %		-7,73 %	6,30 %	15,86 %	-2,04 %	5,51 %	33,26 %	7,79 %	-2,80 %	2,02 %	6,43 %	5,71 %	5,00 %	4,71 %	4,45 %	4,27 %	4,20 %



Revenue Scenarios

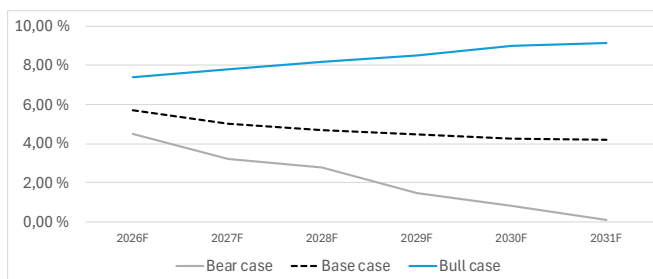
	2026F	2027F	2028F	2029F	2030F	2031F
Bear case	4,50 %	3,20 %	2,80 %	1,50 %	0,80 %	0,10 %
Base case	5,71 %	5,00 %	4,71 %	4,45 %	4,27 %	4,20 %
Bull case	7,40 %	7,80 %	8,20 %	8,50 %	9,00 %	9,15 %

For example

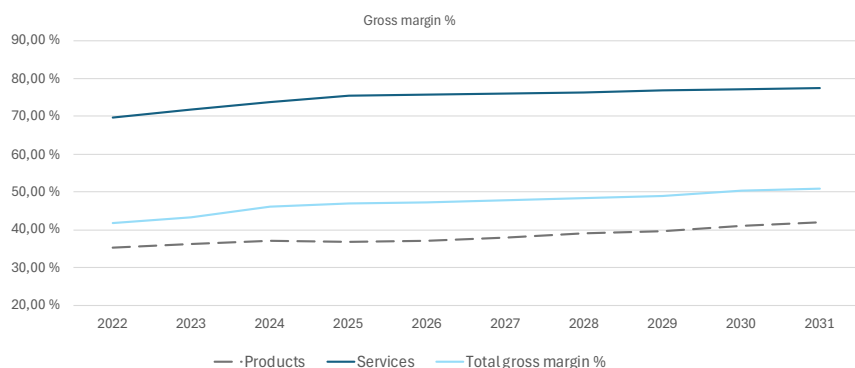
Bear case: China risks, regulatory pressure on services or shrinking iPhone market

Base case: Historical trend continues, Services grow moderately

Bull case: AI-driven iPhone cycle, 30% of revenue, new product



Cost forecast

[illegible]

Working capital schedule

All figures in USD millions unless stated

All figures in USD millions unless stated	2023	2024	2025	2026F	2027F	2028F	2029F	2030F	2031F	term
Days in period	365	365	365	365	365	365	365	365	365	365
Revenue	383 285	391 035	416 161	439 924	461 920	483 676	505 200	526 772	548 896	562 619
COGS	214 137	210 352	220 960	231 840	240 660	249 577	257 652	261 279	269 508	275 683
Accounts payable (days)	107	120	115	115	115	115	115	115	115	115
Account receivable (days)	28	31	35	32	32	32	32	32	32	32
inventory (days)	11	13	9	9	9	9	9	9	9	9
Accounts payable	62 611	68 960	69 860	73 045	75 824	78 634	81 178	82 321	84 914	86 859
Account receivable	29 508	33 410	39 777	38 569	40 497	42 405	44 292	46 183	48 122	49 325
Inventories	6 331	7 286	5 718	5 717	5 934	6 154	6 353	6 442	6 645	6 798
Cash changes										
Accounts payable		6 349	900	3 185	2 779	2 809	2 544	1 143	2 593	1 946
Account receivable		(3 902)	(6 367)	1 208	(1 928)	(1 907)	(1 887)	(1 891)	(1 940)	(1 203)
Inventories		(955)	1 568	1	(217)	(220)	(199)	(89)	(203)	(152)
Cash from working capital		1 492	(3 899)	4 395	633	682	458	(838)	450	590

Asset schedule

All figures in USD millions unless stated

[illegible]